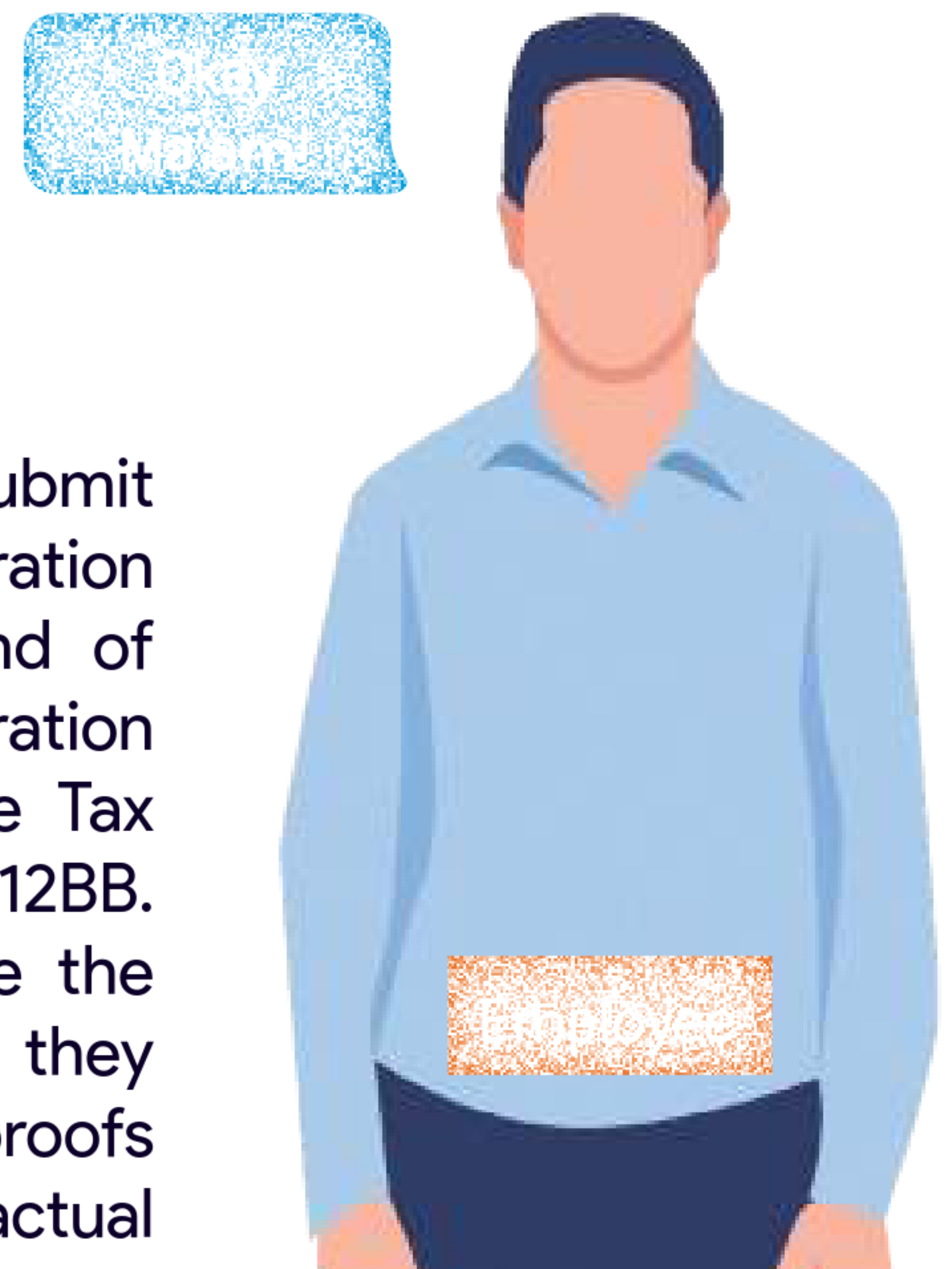


2. Checking proof of Investment



Employees submit their actual investment declaration and investment proofs by the end of the year.

You must ask employees to submit the actual investment declaration and investment proofs by the end of the year. The investment declaration form is prescribed by the Income Tax Department and is known as 12BB. Most organizations prefer to take the declaration by December. Then they have enough time to check the proofs and make adjustments based on actual investments.



3. Calculation of taxes



Your own calculator/
Payroll
provider's
calculator

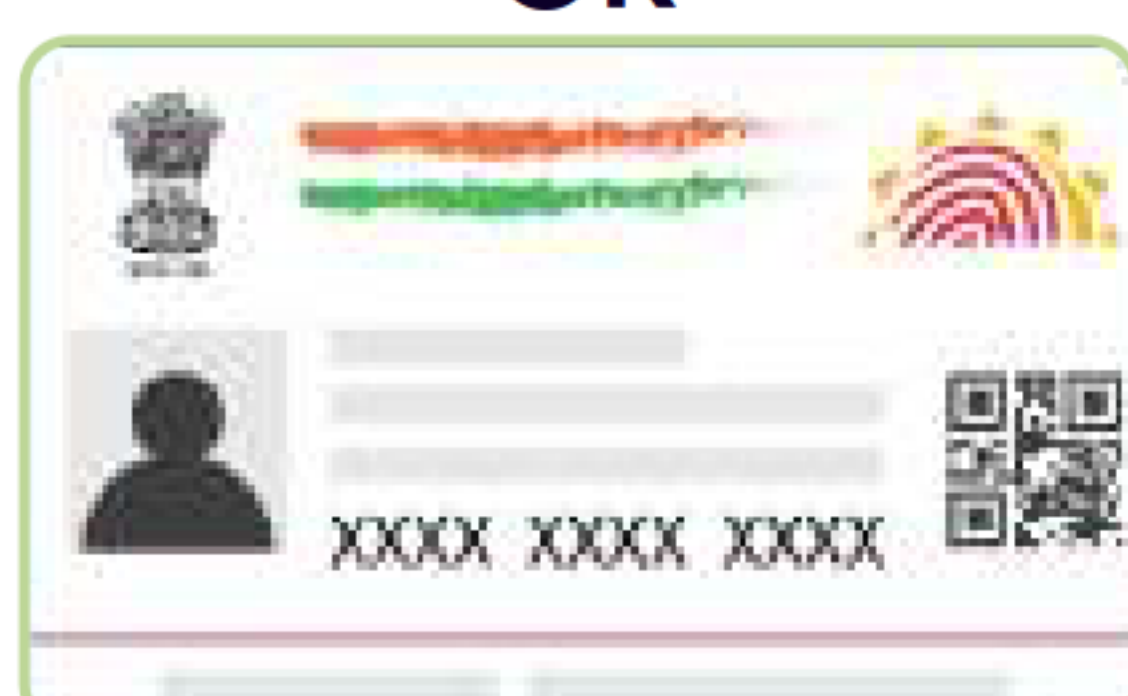


You may develop your own tax calculator or use the tax calculator provided by your payroll provider to calculate taxes. Since the taxation rates, slabs and exemptions change every year. You should use tax calculator provided by Income Tax Department on their website to avoid any confusion.

4. Deduction of taxes



OR



Each employee must apply and obtain a (Permanent Account Number) PAN from the Income Tax department. The taxes are deducted against the PAN number. The Aadhaar and PAN have been made interchangeable; hence, you can submit taxes using the Aadhaar number as well.



**Higher Taxation
Rate levied**

If an employee fails not submit their Aadhaar or PAN details and falls into the taxable bracket, you must deduct tax at a higher tax rate.